

FP&A EXECUTIVE PLANNING & PERFORMANCE REPORT

FY2025 Actuals, Variance Analysis & FY2026 Outlook

SCOPE	12 fiscal months · 5 departments · 7 account categories
REPORT DATE	September 21, 2026
DATA BASIS	Synthetic financial dataset (420 rows), validated for reporting

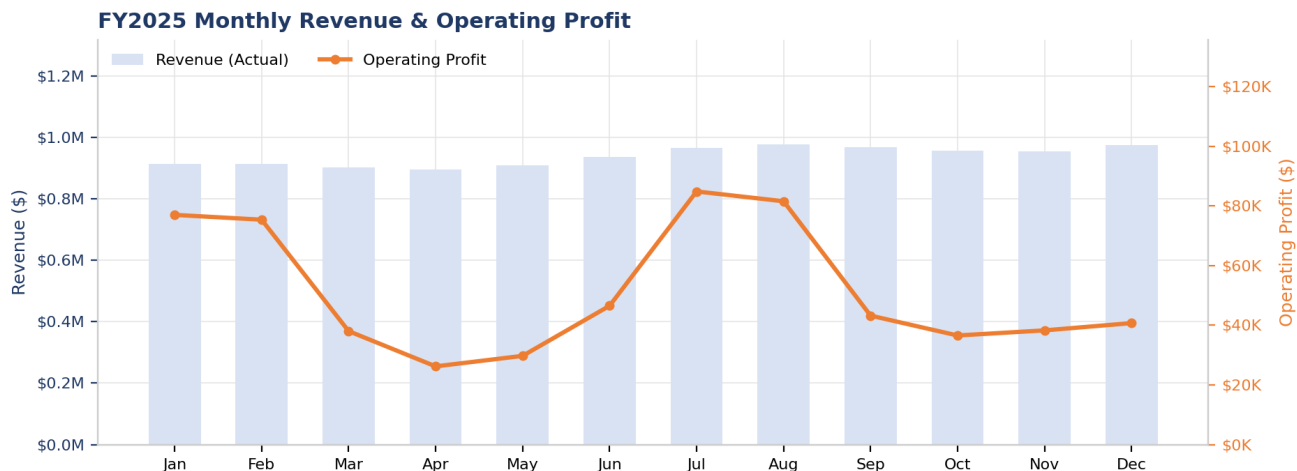
Executive Summary

This report reviews FY2025 performance for a corporate-style finance operation and lays out the FY2026 planning outlook. Revenue tracked close to plan across the year, but operating profit fell meaningfully short of budget — the central story is that **cost discipline, not revenue generation, is the primary lever management needs to pull**.

\$11.26M FY2025 Revenue (Actual)	57.2% Gross Margin	\$5.83M Total OpEx (Actual)	\$618K Operating Profit (Actual)	5.5% Operating Margin
---	------------------------------	---------------------------------------	---	---------------------------------

Revenue landed at \$11.26M against an \$11.17M plan — a **0.9% favorable** variance, essentially on track. Gross margin held nearly flat at 57.2% versus a 58.0% plan. The gap opens up below the gross-profit line: total operating expense came in at \$5.83M against a \$5.59M budget, a **4.2% unfavorable** overrun of about \$235K. Because operating profit is a thin margin on a large revenue base, that OpEx overrun is disproportionately damaging — operating profit of \$618K missed the \$885K plan by **\$266K, a 30.1% shortfall**, and operating margin compressed from a planned 7.9% down to an actual 5.5%.

In short: the top line did its job. The business did not overspend on any single catastrophic item; instead, small-to-moderate overruns across R&D, Marketing, Sales, G&A and travel-related categories compounded into a material hit to profitability. That pattern — broad-based, moderate overspend rather than one runaway cost — is exactly the kind of issue a monthly variance process is designed to catch early.



Revenue was remarkably stable month to month (a \$895K–\$976K band), while operating profit swung from a low of \$26K in April to a high of \$85K in July — nearly 3x variation on a comparatively steady top line. That volatility sits entirely in the cost base.

KPI Scorecard: FY2025 Actual vs Plan

The scorecard below is the fastest way to see where the year landed relative to the approved budget. Green/on-track items are within normal tracking range; the two unfavorable flags mark where corrective action is warranted going into FY2026.

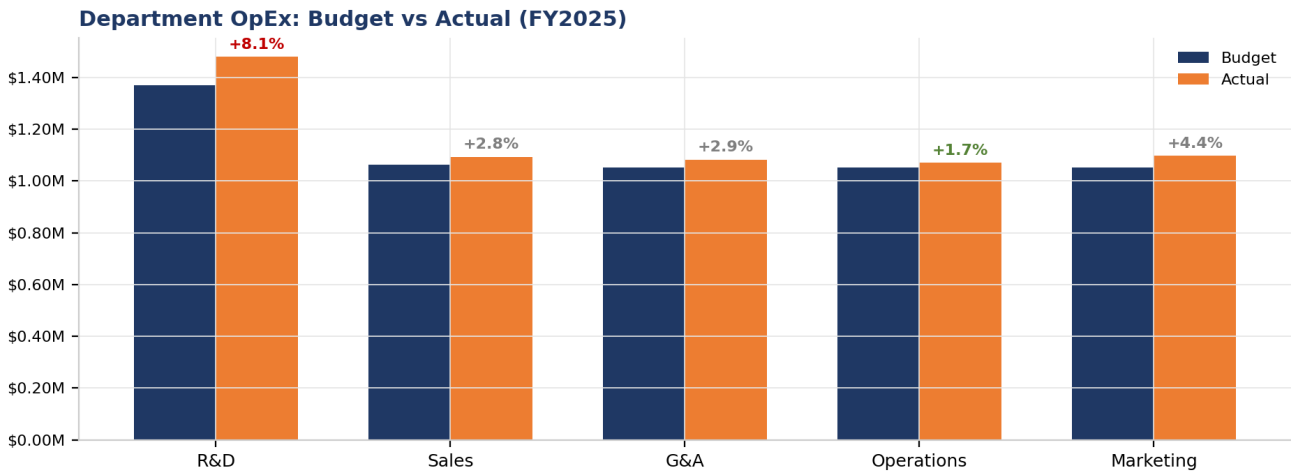
KPI	Plan	Actual	Variance	Variance %	Status
Revenue	\$11,166,120	\$11,261,531	\$95,411	0.9%	On Track
Gross Profit	\$6,476,350	\$6,445,296	(\$31,053)	(0.5%)	On Track
Gross Margin %	58.0%	57.2%	(0.8 pts)	(1.3%)	On Track
Total OpEx	\$5,591,846	\$5,827,167	\$235,321	4.2%	On Track
Operating Profit	\$884,504	\$618,129	(\$266,374)	(30.1%)	Unfavorable
Operating Margin %	7.9%	5.5%	(2.4 pts)	(30.7%)	Unfavorable

Reading the Scorecard

Revenue and gross margin are within normal noise — nothing here needs an intervention. Total OpEx, at +4.2%, sits right at the materiality threshold this project uses (5%), so it's flagged for attention but not yet a crisis on its own. The real signal is that OpEx growth landed almost entirely on the bottom line: because operating profit is a residual (Revenue – COGS – OpEx), a 4.2% cost overrun on a thin-margin business produces a 30%+ profit miss. This is the core lesson the scorecard is built to surface — watch the expense line closely, because small percentage moves there have outsized effects on the number leadership actually cares about.

Department Variance Analysis

Breaking the OpEx overrun down by department shows the overspend is broad-based rather than isolated to one team — every department ran over budget, though by very different magnitudes.



Department	OpEx Budget	OpEx Actual	Variance	Variance %
R&D	\$1,370,091	\$1,480,607	\$110,516	8.1%

Department	OpEx Budget	OpEx Actual	Variance	Variance %
Marketing	\$1,052,426	\$1,098,957	\$46,531	4.4%
Sales	\$1,064,478	\$1,094,149	\$29,671	2.8%
G&A	\$1,052,426	\$1,083,439	\$31,014	2.9%
Operations	\$1,052,426	\$1,070,015	\$17,590	1.7%

What's driving it

R&D is the standout, and the only department that breaches the 5% materiality threshold (+8.1%, \$110.5K over budget) — roughly 47% of the company's entire OpEx overrun sits in this one department. The driver is payroll and software spend growing faster than plan, consistent with a team that hired ahead of schedule and picked up additional technical tooling. Marketing (+4.4%) and Sales (+2.8%) are next, both plausibly tied to discretionary and travel/commercial spend that tends to cluster at quarter-end. Operations (+1.7%) is the most disciplined department and effectively tracked to plan.

The practical takeaway: a single conversation with R&D leadership about hiring pace and software license commitments would address nearly half of the company's total cost overrun. This is a good example of the 80/20 rule showing up in variance analysis — look for the one or two departments that explain most of the gap before spreading review effort evenly across all five.

Management Commentary & Root Causes

Translating variances into owned actions is what turns a reporting exercise into an FP&A process. The items below are prioritized by financial impact and assigned a cadence and owner, mirroring how this would be tracked in a real monthly close.

Priority	Area	Finding	Recommended Action	Owner / Cadence
High	R&D OpEx	Payroll and software spend are recurring pressure points	Monthly headcount-to-plan reconciliation and software license review	FP&A + R&D Monthly
High	Travel	More structurally volatile than other cost categories	Reforecast monthly; require owner commentary above 5% variance	FP&A + Dept Leads Monthly
Medium	Revenue	Performance varies by department, month, timing and mix	Use rolling forecast with base / upside / downside scenario range	FP&A + Sales Monthly
Medium	Marketing	Discretionary spend creates controllable variance	Apply purchase thresholds for material unplanned spend	Marketing + Finance Monthly
Low	Facilities	Comparatively stable, contracted cost base	Run-rate forecast; focus review time on variable costs instead	Finance Quarterly

FY2026 Rolling Forecast

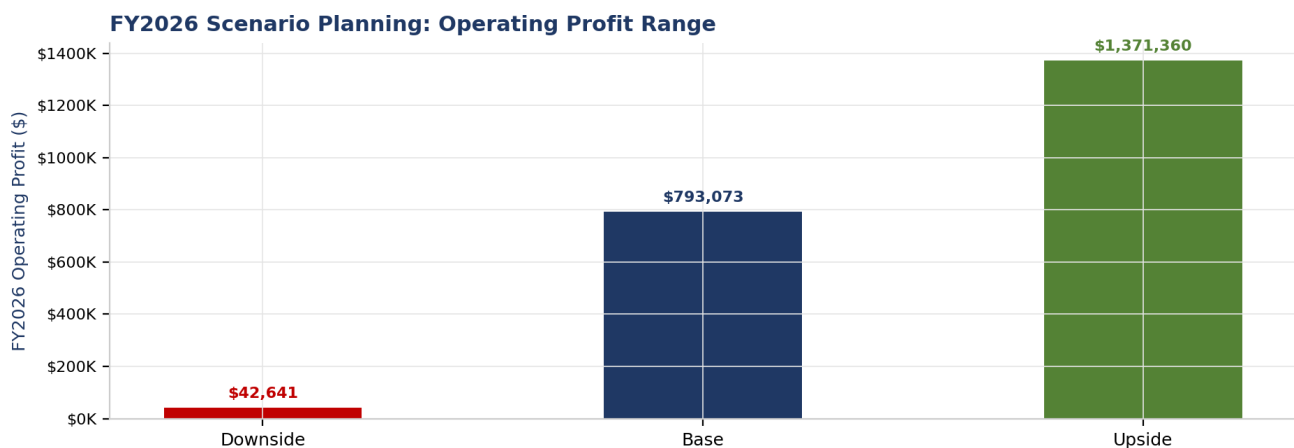
The FY2026 forecast is driver-based: revenue growth, COGS as a percentage of revenue, and inflation assumptions for payroll, software and travel roll forward from FY2025 actuals rather than being set arbitrarily. Under the base-case assumptions, the model projects continued margin pressure early in the year, easing as the business scales through Q2 and Q3.

Metric	Jan	Feb	Mar	Apr	May	Jun	Jul
Revenue (\$K)	968	968	956	949	962	992	1,022
Gross Margin %	58.0%	58.0%	58.0%	58.0%	58.0%	58.0%	58.0%
Total OpEx (\$K)	477	484	503	503	501	508	509
Operating Profit (\$K)	85	78	51	47	57	68	84
Operating Margin %	8.8%	8.0%	5.3%	5.0%	5.9%	6.8%	8.2%

Forecast shown for H1 FY2026 (Jan–Jul); full-year figures used in scenario and DCF sections below.

Scenario Planning

Because a single-point forecast hides risk, the model also runs base, upside and downside cases by flexing revenue growth and cost inflation assumptions together. The range is wide: FY2026 operating profit could land anywhere from roughly **\$43K in a downside scenario to \$1.37M in an upside scenario**, against a base case of \$793K. That spread is a reminder that this business currently operates with thin margin cushion — a modest combination of softer revenue growth and higher cost inflation is enough to nearly erase operating profit entirely.



Scenario	Revenue Growth	COGS % Rev	Payroll Inflation	FY Revenue	FY Op. Profit
Downside	2.0%	45.0%	7.0%	\$11.49M	\$42,641
Base	6.0%	42.0%	5.0%	\$11.94M	\$793,073
Upside	10.0%	40.0%	4.0%	\$12.39M	\$1,371,360

Headcount & Payroll Plan

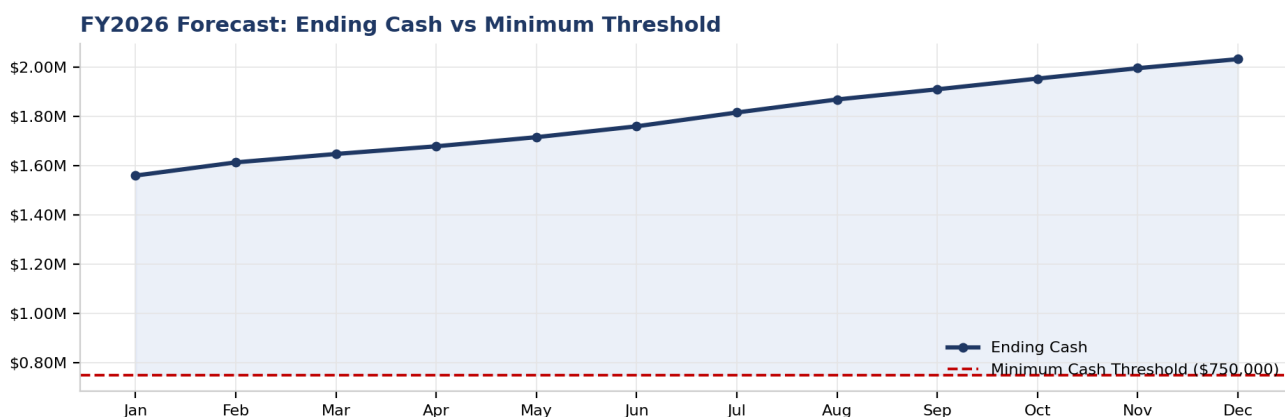
Since payroll is the largest controllable line item in OpEx (and R&D's biggest driver of variance), the FY2026 plan ties headcount directly to the forecast. Total headcount grows modestly from 26 to 28, with net additions concentrated in the two departments already running hot on budget — Sales and R&D — which makes disciplined hiring-pace tracking even more important going into next year.

Department	FY25 Avg HC	FY26 Plan HC	Net Adds	Avg Salary	Annual Payroll
Sales	5	6	+1	\$76,000	\$592,800
Marketing	4	4	0	\$72,000	\$368,640
R&D	7	8	+1	\$98,000	\$1,019,200
Operations	6	6	0	\$66,000	\$498,960
G&A	4	4	0	\$80,000	\$412,800
Total	26	28	+2	—	\$2,892,400

R&D remains the most expensive department per head (\$98K average salary before bonus and benefits), so its single planned addition still carries a disproportionate payroll impact — another reason the monthly headcount-to-plan reconciliation recommended earlier matters most here.

Cash Flow & Liquidity

Profit and cash are not the same thing, so the model separately forecasts free cash flow and ending cash against a \$750,000 minimum cash threshold. Starting from \$1.5M in beginning cash, the business generates positive free cash flow every month of the FY2026 forecast and stays comfortably above the minimum threshold throughout — liquidity is not a near-term concern under the base case, even with the operating profit pressure described above.



Worth flagging: this comfortable cash position is a base-case result. Re-running the cash forecast under the downside scenario's operating profit assumption (\$43K vs. \$793K) would be a natural next step before treating liquidity as fully de-risked.

Illustrative Valuation (DCF)

As a capstone exercise, the model extends the base-case forecast into a simple five-year unlevered DCF, using a 25% tax rate, 3% D&A, 3.5% capex and 6% net-working-capital assumptions (all as a percent of revenue), discounted at a 10% rate. This is illustrative only — a real valuation would need a defensible WACC, a comparable-company check, and much more scrutiny on the terminal value — but it demonstrates how an FP&A forecast feeds directly into a valuation framework.

Metric	FY26	FY27	FY28	FY29	FY30
Revenue (\$M)	\$11.94	\$12.65	\$13.41	\$14.22	\$15.07
Operating Profit (\$M)	\$0.79	\$0.84	\$0.89	\$0.94	\$1.00
Unlevered FCF (\$M)	\$0.49	\$0.52	\$0.56	\$0.59	\$0.62
PV of FCF (\$M)	\$0.45	\$0.43	\$0.42	\$0.40	\$0.39

Summing the five-year present value of free cash flow (~\$2.09M) and a discounted terminal value (~\$5.30M) produces an **illustrative enterprise value of approximately \$7.39M**.

Data Validation & Reporting Controls

Management reporting is only as trustworthy as the data behind it, so every figure in this report passed through a validation layer before publication. The underlying dataset (420 rows at Month × Department × Account grain) was checked against the following rules:

- No duplicate Month × Department × Account combinations
- No null values in Month, Department or Account fields
- Budget and Actual fields are numeric; Variance and Variance % are recalculated, not hand-entered
- All 12 fiscal months are present for every department/account combination
- Only approved departments and accounts appear in the dataset
- Revenue, COGS and all required OpEx categories are present for every month
- Dashboard totals reconcile to the underlying Excel P&L

This process mirrors a real monthly close cadence: load and validate actuals, refresh the P&L and rank variances, update the rolling forecast and assumptions, draft executive commentary with assigned actions, then publish and archive the management pack. Building the controls in explicitly — rather than trusting a spreadsheet by default — is what makes a report like this defensible in front of leadership.

Executive Recommendations

- 1. Rein in R&D cost growth first.** Nearly half of the total OpEx overrun sits in one department. A monthly headcount-to-plan check and a software license review would recover the largest single chunk of the profit gap.
- 2. Treat travel as a variable, not a fixed cost.** Travel showed the most volatility relative to its size. Require variance commentary from department owners whenever a category moves more than 5% against plan, before it compounds

over a quarter.

3. Plan with a range, not a single number. The gap between downside (\$43K) and upside (\$1.37M) operating profit is too wide to manage against one point estimate. Carry base/upside/downside cases into every monthly business review.

4. Re-test liquidity under the downside case. Cash is healthy under the base case, but that hasn't been confirmed under stress. Re-run the cash forecast against downside operating profit before calling liquidity de-risked.

5. Keep the monthly close cadence. The 5-day close-to-publish cycle (load & validate → refresh & rank → reforecast → commentary → publish) is what makes this kind of variance analysis catchable early rather than discovered at year-end.

***Data disclosure:** All figures in this report are drawn from a synthetic financial dataset built for portfolio and demonstration purposes. No real company, customer or employee data is used. The workflow, validation rules and analytical structure are designed to mirror how a corporate FP&A team would handle an actual monthly close.*